

10:00 a.m. Calendar

MATTER OF THE LORA J. OSTROM TRUST

25PR8868

**OBJECTOR'S MOTION TO SET ASIDE DEFAULT JUDGMENT
OR, IN THE ALTERNATIVE, A NEW TRIAL**

This is a probate matter brought by the Wendy Peeples aka Wendy J. Ostrom ("Petitioner") as Petition for Instructions for Trustee Distribution and For Accounting and Compelling the Redress of Breach of Trust against the Successor Trustee Dawn J. Ostrom ("Objector.") Now before the Court is the Trustee's Motion to Set Aside Default.

I. Background

Petitioner filed her petition on March 17, 2025, and filed proof of service upon Ostrom on March 21, 2025. On May 14, 2025, a notice of the petition hearing set for June 6, 2025, was filed and served on Objector's counsel, Claudia Shafer.

On June 6, 2025, the Court held the hearing on the petition. Objector was present but her counsel was not. During the hearing, the Court noted that Ostrom did not know where her attorney was and further that Ms. Shafer had a history of missed appearances. The Court further noted that Ms. Shafer had failed to file any written objections. Thereafter, the Court entered an Order granting the petition, removing Objector from her fiduciary duties, and charging costs and fees to Objector. Attorney Shafer was served with the Order by mail and e-mail on June 13, 2025.

Now before the Court are two motions filed by Petitioner: 1) motion for relief from judgment and, in the alternative, a 2) motion for a new trial.

II. Legal Standard

Pursuant to Code Civ. Procedure section 437(b), a judge must vacate a dismissal, default entry, or default judgment "whenever (1) an application is made no more than six

months after entry of judgment, (2) the application is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, and (3) the attorney's mistake, inadvertence, surprise or neglect in fact caused the dismissal or entry of default." Whenever relief is based upon an attorney's affidavit of fault, the court must order the attorney to pay reasonable legal fees and costs of the opposing side. (Code Civ. Proc. §473(b).)

Code of Civil Procedure section 657 governs motions for new trials and provides that a court may grant a new trial under certain specific circumstances. A new trial is authorized only if irregularity or misconduct has materially affected the substantial rights of the moving party, meaning that the error must be prejudicial. (*Jackson v. Park* (2021) 66 Cal.App.5th 1196, 1217.)

III. Discussion

Objector first moves for relief from default under Code Civ. Proc. section 473(b). In support of this motion, Objector provides the declaration of her attorney Claudia Shafer. Ms. Shafer avers that on the day before the June 6, 2025 hearing, she called the Clerk's office and informed it that she had just tested positive for Covid-19 and could not attend the hearing. (Declaration of Claudia Y. Shafer ("Shafer Decl.") ¶ 3.) Ms. Shafer asserts that she asked the Clerk to notify the Judge in this matter and orally requested a continuance. (*Ibid.*) Ms. Shafer also avers that she informed opposing counsel of her illness. (*Ibid.*)

In opposition, Petitioner first argues that Section 473 does not apply because this matter does not involve a default of dismissal, but rather an order entered after a noticed hearing. In support, Defendant cites two cases in which it was held that section 473(b) did not apply where there was no default judgment. (*Prieto v. Loyola Marymount Univ.* (2005) 132 Cal.App.4th 290, 295-296 [473(b) does not apply where counsel failed to file a timely response to a motion for summary judgment; (*Peltier v. McCloud River R.R. Co.* (1995) 34 Cal.App.4th 1809, 1812 [473(b) does not apply where counsel failed to bring a case to trial within three years.].)

Here, Objector's attorney failed to attend the noticed hearing and the Court entered an Order providing exactly what Petitioner sought in her Petition. No witnesses were called and Objector did not provide any testimony. These factual circumstances render this case a "proceeding more equivalent to default" because at no time was Objector able to have her side heard on the merits. (*Peltier*, *supra* at 1817.) Objector never had an opportunity to present any defense or objection to the misconduct of her attorney.

The Court can exercise its discretion to relieve a party from what is essentially a default judgment based on attorney misconduct. (*People v. One Parcel of Land* (1991) 235 Cal.App.3d 579, 584.) Here, the Objector showed up to attend the hearing but, according to the minute order from the hearing, could not explain why her attorney was absent. This suggests that Objector's own attorney failed to inform her that she was not going to attend the hearing on her behalf. Ms. Shafer's declaration backs up this presumption because noticeably absent from her declaration is any statement indicating that she spoke to her client about her illness and the hearing whatsoever. Under the very unique and limited circumstances of this case, relief under section 473 is appropriate.

The Court is also concerned that Petitioner's counsel failed to inform the Court on the day of the hearing about Ms. Shafer's illness. According to her declaration, Ms. Shafer contacted Petitioner's counsel prior to the hearing and alerted him to the fact that she had tested positive for Covid-19. However, Mr. Shafer did not inform the Court of this fact at any point during the hearing. Had the Court been aware of the illness, it may have been more reluctant to grant the Petition in its entirety without first hearing from Objector.

Accordingly, Objector's motion for relief is **GRANTED**. The motion for a new trial is therefore **DENIED** as moot.

The clerk shall provide notice of this ruling to the parties forthwith. Objector to prepare a formal Order in compliance with Rule of Court 3.1312 in conformity with this Ruling.